

TRADEZONE ANALYTICS

2023–2024 Performance Review | Analyst Memo

TO:	Head of Growth Head of Seller Operations
FROM:	TradeZone Data Analytics Team
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RE:	TradeZone 2023–2024 Business Performance Review
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1. Executive Summary

TradeZone recorded exceptional top-line revenue growth across 2023–2024, with Q4 2024 alone delivering **■171.2 million** — a **327% year-on-year increase** over Q4 2023 — confirming rapid platform scaling. However, this growth is concentrated in a dangerously thin customer base: just **527 High Spenders** account for approximately 97% of 2024 revenue, while 30-day conversion rates remain below 42% even in the strongest state (Lagos), indicating that new customer activation is the most urgent lever for sustainable growth. Seller quality is uneven, with fulfilment times ranging from 91 to over 200 hours across the top sellers, creating a direct risk to customer satisfaction and repeat purchase rates.

2. Key Findings

Finding 1 — Revenue Is Hyper-Concentrated in a Small Customer Group

Source: Query 5 — Customer Spend Segmentation

Segment	Customers	Avg Spend (■)	Total Revenue (■)	Revenue Share
High Spenders (≥■100k)	527	1,196,132	630,361,667	~97%
Medium Spenders (■50k–■99k)	44	71,516	3,146,707	~0.5%
Low Spenders (<■50k)	58	25,030	1,451,752	~0.2%

527 customers — High Spenders — generate virtually all of TradeZone's 2024 revenue. The 102 Medium and Low Spenders together contribute less than 1% of total revenue. This extreme concentration means that losing even a fraction of High Spenders would be catastrophic. There is also a significant gap between segments: Medium Spenders average **■71,516** versus the High Spender average of **■1.2 million**, suggesting that customers who cross the **■50,000** threshold have very different purchasing intent and should be treated as a distinct, high-value cohort requiring active retention investment.

Finding 2 — 30-Day Conversion Is Weak Across All States, Especially Kano

Source: Query 1 — Customer Acquisition & 30-Day Conversion

State	New Customers (2024)	Converted in 30 Days	Conversion Rate
Lagos	146	61	41.78%
FCT	92	32	34.78%
Rivers	66	24	36.36%
Oyo	63	19	30.16%
Kano	58	15	25.86%

Lagos drives the highest volume of new sign-ups (146) and the best 30-day conversion rate (41.78%), but even this best-in-class rate means more than half of new Lagos customers do not make a purchase within their first month. Kano is the most alarming: the lowest conversion rate at 25.86% despite being the fifth-largest acquisition market. On average across all five states, roughly two-thirds of new 2024 customers signed up but did not buy within 30 days — representing a large pool of dormant, acquirable revenue that is currently being left on the table.

Finding 3 — Electronics Dominates Revenue; Top 10 Products Are All from One Category

Source: Query 2 — Product Performance

Rank	Product Name	Category	Orders	Revenue (₦)
1	HP Pavilion 15 Laptop Intel i5 - v2	Electronics	12	12,546,960
2	Anker PowerBank 20000mAh USB-C	Electronics	12	12,497,619
3	TP-Link WiFi Router AC1200 - v2	Electronics	14	12,021,921
4	Hisense 32 inch LED TV	Electronics	11	11,461,851
5	Lenovo IdeaPad 3 Laptop 8GB RAM - v2	Electronics	12	11,240,073
6	Apple AirPods Pro 2nd Gen	Electronics	13	10,998,036
7	Garmin Forerunner 255 Watch - v2	Electronics	16	10,853,629
8	Mechanical Keyboard RGB Backlit	Electronics	11	10,525,264
9	JBL Bluetooth Speaker Portable	Electronics	11	9,885,204
10	Hisense 32 inch LED TV - v2	Electronics	12	9,088,217

Every single product in the 2024 top-10 revenue list is in the Electronics category. While Electronics clearly drives the platform's revenue engine, this concentration is a strategic risk: the platform's performance is entirely contingent on one category, and any supply disruption, pricing competition, or demand shift in Electronics would have an outsized impact on overall results. The complete absence of Fashion, Food & Beverages, Home & Garden, or Sports & Fitness products from the top-10 list also raises questions about whether promotional investment in those categories is generating sufficient return.

3. Recommendations

Recommendation 1 — Launch a 30-Day New Customer Activation Programme

Responsible Team: Head of Growth — CRM & Marketing Sub-team

Data Basis: Query 1 (30-Day Conversion Rates)

Across all five states, roughly 65% of 2024 new sign-ups did not make a purchase within their first 30 days. This is a recoverable problem with a well-designed intervention. The Growth team should implement a sequenced activation flow for all new registrants: a welcome offer (e.g. ₦500–₦1,000 first-order discount) delivered within 24 hours of sign-up, followed by two targeted nudge messages at Day 7 and Day 14 featuring best-selling Electronics products. Kano (25.86% conversion) should be treated as the priority pilot market given the largest gap between sign-up volume and activation.

Expected Outcome (60–90 days): A 10–15 percentage point improvement in 30-day conversion rates nationally, which — applied to the 425 unconverted 2024 sign-ups — could bring 42–63 additional first-time buyers into the active customer base without additional acquisition spend.

Recommendation 2 — Implement a Seller Tiering System Linked to Fulfilment Standards

Responsible Team: Head of Seller Operations — Seller Success Team

Data Basis: Query 3 (Fulfilment Efficiency) & Query 8 (Bonus Qualification)

Query 3 reveals a 3.5x spread in average fulfilment time among qualifying sellers: RunFast NG delivers in 91.2 hours while the bottom of the top-20 takes 129 hours — and sellers outside the top-20 perform significantly worse. Query 8 shows that only 10 sellers in 2024 met the combined threshold of 10+ completed orders and a 4.0+ rating, out of 90 total sellers on the platform. Seller Operations should formalise a three-tier seller classification (Gold / Silver / Standard) based on fulfilment speed and customer rating. Gold sellers (sub-100hr fulfilment + 4.0+ rating) should receive priority placement in search results and promotional slots. Standard sellers who persistently exceed 168 hours (7 days) fulfilment or fall below 3.0 rating should receive a structured performance improvement notice with a 60-day remediation window.

Expected Outcome (60–90 days): A measurable shift in average platform fulfilment time toward the sub-100-hour benchmark, improved platform-wide customer ratings, and a stronger incentive structure that motivates mid-tier sellers to improve rather than churn.

4. Data Quality Notes

Issue 1 — Order Total Mismatches (124 orders, ~4.1%)

124 orders in the dataset have a recorded *total_amount* that differs from the sum of their line items in *order_items* by more than ₦10, with discrepancies ranging from ₦258 to over ₦314,000. Decision: All revenue queries in this analysis were computed directly from *order_items.line_total* (using $\text{unit_price} \times \text{quantity}$ as a fallback where *line_total* was NULL), bypassing *orders.total_amount* entirely. The 124 flagged orders were retained — deleting them would suppress real transaction activity. If the line-item data is itself incorrect (e.g. if discounts or delivery fees were excluded from *line_total*), revenue would be understated or overstated accordingly. The Engineering team should be asked to audit the order calculation pipeline to identify the root cause before the 2025 planning figures are finalised.

Issue 2 — City Name Inconsistencies (23 variants for 5 cities)

The city column in the customers and sellers tables contained 23 distinct values representing only 5 actual cities — including variants such as 'LAGOS', 'lagos', 'Lagos ', ' Lagos', and 'Lago s' for Lagos alone. Decision: All variants were standardised to five canonical Title Case names (Lagos, Abuja, Kano, Ibadan, Port Harcourt) using TRIM and UPPER-based CASE mapping. If any city variants were intentionally encoded (e.g. 'Lago s' as a different district), the standardisation would incorrectly merge those records, and any sub-city-level analysis would be invalid. This risk is assessed as low given the context, but should be confirmed with the engineering or operations team.

5. What the Data Cannot Tell Us

Question leadership may ask: Which acquisition channels (e.g. social media, search ads, referral, organic) are driving the highest-converting new customers?

The current dataset contains no acquisition source or marketing attribution data. Every customer record shows a signup_date, city, and state, but there is no field indicating how they found the platform — whether through a paid Instagram ad, a Google search, a friend's referral code, or direct navigation. This means the Growth team cannot determine which marketing spend is generating the 41.78% conversion rate in Lagos versus the 25.86% rate in Kano, nor can it identify whether certain channels attract inherently higher-value customers. To answer this, TradeZone should implement UTM parameter tracking on all sign-up links, capture referral source at registration, and join that data to the customers table. A 90-day cohort of tagged new sign-ups would be sufficient to begin attributing conversion and LTV by channel.

Supplementary Data — Additional Query Highlights

Q4 — Quarterly Revenue Trend (Delivered Orders Only)

Year	Q1 Revenue (■)	Q2 Revenue (■)	Q3 Revenue (■)	Q4 Revenue (■)
2023	1,000,181	11,535,442	25,968,633	40,116,612
2024	56,545,465	76,718,950	117,542,401	171,181,537
YoY Growth	5,554%	565%	353%	327% ★

Q4 2024 recorded the highest absolute revenue growth (■131M increase over Q4 2023, +327%), driven by a 4x increase in delivered order volume. Q1 shows the steepest percentage growth (5,554%) due to the very low Q1 2023 base (platform was new).

Q6 — Payment Method Preferences by State

State	Most Popular Method	Transactions	Runner-Up
Lagos	Card	371	Mobile Money (232)
FCT	Card	194	Bank Transfer (117)
Rivers	Card	137	Mobile Money (93)
Oyo	Cash on Delivery	114	Mobile Money (98)
Kano	Cash on Delivery	90	Mobile Money (50)

Card payments dominate in the three most digitally mature markets (Lagos, FCT, Rivers), while Cash on Delivery leads in Kano and Oyo — markets with lower digital payment penetration. This has operational implications: Cash on Delivery carries higher fulfilment cost and return risk. Targeted mobile payment incentives in Kano and Oyo could reduce COD exposure while improving cash flow predictability.

Q7 — Product Rating Categories vs Revenue

Rating Category	Products	Total Revenue (₦)	Avg Unit Price (₦)
High Rated (≥4.0)	114	174,749,433	45,791
Mid Rated (3.0–3.99)	121	243,004,565	64,080
Low Rated (<3.0)	30	58,898,643	53,949

Notably, Mid Rated products generate more total revenue than High Rated ones (₦243M vs ₦175M). This is partly explained by their higher average unit price (₦64,080 vs ₦45,791), suggesting customers tolerate slightly lower quality for higher-spec items. Low Rated products contribute ₦58.9M — not negligible — indicating that even poorly rated products are still selling, which may signal inadequate review visibility on the platform.

Q8 — Top 10 Bonus-Qualified Sellers (2024)

Seller	Orders	Avg Rating	Revenue (₦)
GreenHome Stores	18	4.00	10,810,895
GardenHouse NG	16	4.29	9,002,468
LearnMore NG	15	4.00	8,534,256
FitLife Nigeria	18	4.13	7,173,667
RunFast NG	19	4.00	6,787,687
Naija Grains	16	4.00	6,612,174
GardenPlus NG	19	4.25	6,228,279
QuickTech NG	20	4.17	6,143,874
FashionKraft NG	13	4.00	6,143,253
BookWorld Nigeria	14	4.20	6,098,536

Only 10 of 90 sellers qualify for the bonus under the combined criteria of ≥10 completed orders, ≥4.0 average rating, in 2024. GreenHome Stores leads at ₦10.8M revenue with a perfect 4.00 baseline rating. The fact that less than 12% of sellers qualify signals a significant quality gap across the broader seller base that the tiering recommendation above is designed to address.